

**Global Brand, Local Market: A Strategic Analysis of
Netflix's Adaptation Challenges in India**

An Undergraduate Honors Thesis Submitted in Partial Fulfillment of
University Honors Program Requirements
University of Nebraska-Lincoln

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May 2025

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Abstract

Netflix is a leading subscription video-on-demand (SVOD) platform known for its premium content and global reach. As it expands into new international markets, one of its most complex challenges is scaling in India, a market defined by intense price competition, regional diversity, and evolving regulatory frameworks, but without losing its global brand identity. This case study provides a strategic analysis of Netflix's position in the Indian market, using external and internal assessment tools to evaluate the company's opportunities, risks, and long-term viability. The analysis draws on publicly available data, including industry reports, financial disclosures, and academic research.

A comprehensive PESTEL analysis examines India's political, economic, social, technological, environmental, and legal landscape, while a Value Chain analysis assesses Netflix's business activities to find areas of improvement within the value chain to increase competitive advantage. The report also explores viewer behavior, content localization demands, and competitor strategies to highlight critical market dynamics. The strategic recommendation emphasizes investing in regional content co-productions, leveraging telecom partnerships, and enhancing data-efficient technology to reach underserved audiences.

The report then expands through an honors extension that incorporates deeper, high-quality research and a critical comparison to the original case analysis, strengthening the strategic recommendation with updated insights on digital behavior, regulatory developments, and shifting market dynamics to position Netflix for sustainable growth in one of the world's fastest-growing digital entertainment markets.

Key Words: Netflix, India, SVOD, Strategic Analysis, PESTEL, Value Chain, Global Expansion, Digital Content, Streaming, Case Study

Executive Summary

Netflix, a global leader in the Subscription Video on Demand (SVOD) industry, has built its brand on a culture of innovation, freedom, and premium content. While the platform holds a dominant position globally, expanding its market share in India remains a strategic challenge. Despite growing its Indian subscriber base and launching mobile-specific plans, Netflix continues to trail competitors like Disney+ Hotstar and Amazon Prime Video, which offer more price-sensitive bundles and regionally relevant content, such as Bollywood films or live cricket matches. The strategic problem lies in Netflix's ability to scale its Indian subscriber base while preserving its premium global brand identity and avoiding dilution of its content strategy.

A deep dive analysis of the external environment using the PESTEL framework reveals significant political and legal uncertainties, including rising censorship pressures from India's government. Economically, India is a price-sensitive market where bundled services and low-cost mobile plans dominate. Socially, the country's diverse linguistic and cultural demographics demand hyper-localized content. Technologically, the expansion of 4G in India and smartphone usage present a growth opportunity, while regulatory shifts and sustainability expectations add complexity. In addition, because of the Jio effect and cheaper smartphones, more of the Indian market has increased the daily digital content they intake. Internally, the value chain analysis showed Netflix's strengths in content operations, personalization algorithms, and its ability to adapt pricing. However, it must now leverage those strengths toward local partnerships, marketing, and regional production.

To address this challenge, the recommended strategy is for Netflix to deepen its investment in regional content partnerships and co-productions. This strategy builds on Netflix's prior moves to offer Hindi content and mobile-only pricing, while directly addressing consumer demand for content in languages like Tamil, Telugu, and Malayalam. This approach also allows Netflix to reduce content development costs, ensure cultural authenticity, and enhance brand differentiation.

The four-phase implementation plan begins with market and creator research, followed by pilot development and regional launches supported by telecom marketing partnerships. The final phase focuses on data-driven performance reviews to refine and scale successful projects. This strategy allows Netflix to stay true to its global premium identity while demonstrating localized cultural understanding in one of the world's fastest-growing media markets.

Case Background and Problem Definition

Netflix began with the idea of becoming the next Amazon.com of DVDs. Founded in 1997 by Marc Randolph, a tech-marketing executive, and Reed Hastings, a computer programmer, Netflix launched in 1998 as an online DVD retailer with a mail-order rental service. What started as a \$22 subscription plan for unlimited DVD rentals eventually evolved into a global leader in subscription-based streaming video, offering a wide range of TV shows, movies, and original content. Unlike competitors who entered the market with large libraries of movie franchises, Netflix rose to industry leadership by seizing a series of growth opportunities. It successfully pivoted from DVDs to licensing popular content, and then to building its own in-house studio to create original content.

By 2019, Netflix was operating in over 190 countries and had 167 million paid subscribers, with more than 60% located outside the United States. In addition to its content, Netflix attributes much of its success to the company culture it intentionally built. Hastings, along with Chief Talent Officer Patty McCord, focused on creating a culture centered on freedom, responsibility, and transparency. Netflix is known for valuing highly effective people and avoiding rigid rules. The Netflix Culture Deck, a 125-slide presentation, outlines this philosophy, and leadership credits this culture for the company's ability to grow and adapt over time.

As a company in the Subscription Video on Demand (SVOD) industry, Netflix faces constant pressure from rivals like Disney+, Amazon Prime Video, Hulu, Apple TV+, and others. Beyond global SVOD competitors, it also competes with local players in key markets, such as ZEE5 and ALTBalaji in India, which is the primary focus of this case study. Some of the most pressing competitive forces include content wars and intense price competition. In India, where mobile data costs dropped significantly due to the “Jio effect,” the market is especially price-sensitive and heavily influenced by demand for regional language content. Because of fierce competition, consumers have strong bargaining power and face very low switching costs between platforms. To expand its presence in India, Netflix must overcome intense rivalry, adapt to local preferences, and manage pricing challenges without weakening its global brand (Sull & Turconi, 2021).

The core strategic problem Netflix faces in the Indian market is scaling its subscriber base while meeting highly specific local needs without compromising its global identity. The launch of Jio's 4G and broadband services, which lowered rates by up to 75% compared to other carriers, made India an ideal market due to the explosive rise in digital media consumption. This issue is strategically important because India represents one of the largest and fastest-growing digital markets in the world. In addition, Netflix already has more international than domestic subscribers, making successful global adaptation crucial for long-term growth. If Netflix fails to scale in India, it risks losing out on a multi-billion-dollar opportunity and ceding market share to competitors who are better able to localize. Overall, Netflix dominates the global market more than the domestic one, so its ability to continue strengthening its global position depends on successfully localizing its approach while protecting the brand it's built worldwide.

Analysis

To best assess Netflix India's current position and the competitive landscape, it is important to conduct an external, internal, and firm performance analysis.

External Analysis

For the external analysis, we will utilize a PESTEL framework to understand the macro trends that are impacting the company. The PESTEL analysis includes six key external factors that affect business: Political, Economic, Social, Technological, Environmental, and Legal.

Political

First, India's government has recently expanded its regulatory reach to include platforms like Netflix, placing them under the jurisdiction of the Ministry of Information and Broadcasting.

This body introduced the Broadcasting Services (Regulation) Bill in 2024 with the goal of bringing over-the-top platforms under the same regulatory framework as broadcasters. The bill proposed the establishment of a Content Evaluation Committee (CEC) to pre-certify all digital content, essentially acting as a form of pre-censorship (CyberPeace Foundation, 2024). While the bill was eventually withdrawn due to public backlash, the government's desire to move forward with similar oversight remains. Previously, in 2021, the Information Technology Rules were implemented to enforce a three-tier grievance redressal mechanism and a code of ethics for digital publishers, including OTT platforms (Ministry of Electronics and Information Technology, 2021). These regulations mandate platforms to exercise greater oversight over content, with the potential for government intervention in cases of non-compliance (Ellis-Petersen, 2020).

These developments signal a shift toward greater censorship of digital media, driven by the ruling Bharatiya Janata Party (BJP), which seeks more control over news and entertainment, particularly spaces where diverse narratives are expressed. According to Freedom House, internet freedom in India has declined for three consecutive years, and digital rights activists warn that this increased oversight may lead to more censorship, forced self-regulation, and constraints on creative expression. For Netflix, this raises serious concerns about creative autonomy, long-term content strategy, and the ability to maintain its differentiated brand promise in India, especially as its original programming often tackles politically, socially, and culturally sensitive topics. The political environment will play a major role in Netflix's ability to scale in India, especially if restrictions dilute the platform's appeal by limiting access to its original and diverse content (Ellis-Petersen, 2020).

Economical

Next, the economic environment is a major factor that influences successful adaptation. Since entering the Indian market, Netflix recognized the need to align with local economic conditions. The case study notes that Netflix's subscription prices in India initially ranged from \$7.16 to \$11.46 per month, pricing it more like a movie ticket rather than monthly cable TV (Sull & Turconi, 2021). However, Netflix has since lowered its prices, its mobile plan now costs just \$1.75, and the premium plan is \$7.62 (Team 91, 2025). Another way Netflix adapted was by launching a mobile-only plan, which is not available in many countries, to cater to India's mobile-first and cost-conscious audience. This has made the platform more accessible and aligned with how most users in India consume content, through their phones. Still, Netflix faces high competition that limits its ability to capture most of the market (Sull & Turconi, 2021). Amazon Prime offers a bundled service at a competitive annual fee, and Disney+ Hotstar provides plans starting at \$1.75 for three months. Additionally, major telecom providers like Jio and Airtel offer bundled plans that include Disney+ Hotstar, featuring original content, Indian shows and movies, and live sports, all for a lower price.

Social

The social environment in India also adds complexity. The country has a deeply diverse population, with many languages, religions, and cultural practices, requiring a highly nuanced content strategy. While English has broad appeal, there is a strong and growing demand for Indian movies and shows in Hindi, as well as regional languages like Tamil, Telugu, and

Bengali. To succeed in this space, Netflix must continue investing in a blend of original programming and expanded language options, including voiceovers and subtitles. Building a loyal user base in India requires adapting to local consumption habits while maintaining cultural relevance.

Technological

India's rapid technological transformation has also created a favorable environment for streaming platforms. As previously mentioned, the "Jio effect," which began with the introduction of ultra-cheap mobile data plans in 2016, revolutionized internet access by significantly lowering data costs and expanding 4G coverage (Sull & Turconi, 2021). This led to a surge in digital media consumption, with smartphones becoming the dominant platform. In response, Netflix introduced its mobile-only plan to cater to the Indian market. Beyond mobile plans, increasing access to affordable Android smartphones, even in rural areas, has broadened Netflix's potential audience. However, challenges remain, bandwidth limitations, inconsistent download speeds, and device constraints continue to affect streaming quality. Netflix has worked to overcome these issues by improving video compression and optimizing user interface performance. Additionally, AI and machine learning have given Netflix new tools to personalize user experiences. While personalization has long been a competitive advantage, optimizing algorithms for regional tastes and language preferences in India is still in progress. With continued investment in local data analytics and backend infrastructure, Netflix could lead in recommendation accuracy and customer satisfaction, particularly in high-traffic, low-bandwidth settings.

Environmental

Although environmental concerns are not as prominent in this industry as others, they are becoming increasingly relevant. Streaming requires significant energy consumption to power servers, cloud infrastructure, and data centers. As India's internet usage and content consumption continue to grow, so does the environmental footprint of digital entertainment. Public and regulatory attention to carbon emissions and sustainability is also rising, and companies operating in India are under growing pressure to meet these expectations. Netflix has committed to reducing emissions through climate investments. These sustainability goals are likely to appeal to eco-conscious consumers and help maintain a positive brand image. As streaming has replaced DVDs, which required physical shipping, the industry itself contributes positively in some areas. Still, Netflix must continue reporting its sustainability practices transparently and seek regional partnerships to support green initiatives in India.

Legal

The legal environment adds yet another layer of complexity. Regulatory measures such as the IT Rules (2021) and the proposed Broadcasting Services Regulation Bill (2024) expand government authority over digital content. These laws allow the government to demand content modifications or removals, threatening creative freedom. Alongside this, evolving foreign investment and environmental laws further complicate Netflix's compliance landscape. Netflix must strike a balance between legal alignment and protecting its global creative standards and brand identity (Ministry of Electronics and Information Technology, 2021).

Internal Analysis

To evaluate Netflix's internal capabilities, we conducted a Value Chain Analysis, which includes identifying primary and secondary activities, assessing the value and cost of each, and pinpointing opportunities for competitive advantage (Stobierski, 2020).

Primary Activities

Primary activities begin with inbound logistics, which includes acquiring local content rights, commissioning original Indian productions, and managing content partnerships. Operations consist of cloud-based infrastructure used to host and deliver content globally. This also involves adaptive bitrate streaming to account for India's varying internet speeds, localization of the user interface in multiple Indian languages, and systems for regional distribution and recommendation tracking. Outbound logistics involve streaming content digitally, optimized for the bandwidth environment in each region. Marketing and sales include global and regional campaigns, influencer marketing, mobile-only pricing plans, and partnerships with telecom providers like Jio and Vi. Finally, after-sales services are centered on user satisfaction and retention, including AI-driven personalized recommendations, 24/7 multilingual customer service, child-safe viewing options, and subtitles and dubbed audio in various Indian languages.

Secondary Activities

Secondary activities support these functions. Netflix's firm infrastructure includes planning, management, finance, legal, and accounting, handled across both corporate and business unit levels. The company maintains an office in Mumbai, with roles spanning engineering, talent production, and finance. Netflix has localized pricing strategies and acquires content in multiple languages. In terms of human resources, the company is recognized for a strong, inclusive culture that supports employee development and performance. It also employs local producers, scriptwriters, and marketers to ensure cultural relevance and regulatory compliance. Technological development plays a vital role, as Netflix continues investing in personalization algorithms, content recommendation engines, and AI tools for subtitle and audio syncing in Indian languages. Procurement involves licensing content from Indian production houses and securing rights to Bollywood and regional film libraries (Sull & Turconi, 2021).

Evaluating the Value, Cost, and Competitive Advantage

When examining the value and cost of each activity, it becomes clear that inbound logistics adds value by securing culturally relevant, localized content. However, acquiring rights and commissioning originals in multiple languages can be costly, especially given competition for top creators and actors. That said, Bollywood stars are often paid less per project and earn more through endorsements, which can ease budget constraints. Operations add significant value by delivering a personalized, seamless experience, but they also demand ongoing investment in infrastructure and adaptive streaming. Outbound logistics contribute by offering instant access to content across devices, but require continuous app maintenance. Marketing and sales directly impact user acquisition and retention, with regional campaigns and telecom partnerships offering scale and efficiency, though influencer-based and brand campaigns can still be expensive. After-

sales services enhance user satisfaction and loyalty but rely heavily on data processing and algorithm optimization, which increase backend operating costs.

Firm Performance Analysis

Overall, Netflix's strategy clearly emphasizes product differentiation rather than cost leadership. One major opportunity for differentiation is through its inbound logistics, specifically by investing more heavily in regional-language originals, especially in underserved markets. This could enhance cultural resonance and justify Netflix's slightly higher subscription cost in a price-sensitive market. In operations, the continued improvement of recommendation algorithms and streaming quality, especially for rural bandwidth environments, will drive user satisfaction. In marketing, further collaboration with telecom providers and mobile manufacturers could reduce acquisition costs while expanding regional reach.

Finally, we will evaluate Netflix's financial performance and compare it to competitors in India's SVOD market. In fiscal year 2024, Netflix reported gross revenue of over 28 billion Indian rupees, or approximately \$341.4 million, marking a 29% increase from the prior year. It also reported a 49% increase in net profit, reaching 520 million rupees, or about \$6.24 million. Based on these figures, Netflix had a net profit margin of 1.83%, showing how much of each revenue dollar becomes profit. Compared to 2023, Netflix experienced 28.5% growth in revenue and 48.9% growth in net profit, a 45% improvement overall (Statista, 2025).

Netflix currently holds 13% of India's SVOD market, with an estimated 10 million subscribers. The market leader, Disney+ Hotstar, holds 26% of the market with 38 million paid subscribers. According to Netflix's 2024 Annual Report, the average monthly revenue per subscriber for Disney+ Hotstar is \$0.96 (The Walt Disney Company, 2025). While Disney doesn't break out its total India revenue, we can estimate \$412 million in subscription revenue, excluding ad revenue. Disney+ Hotstar also operates an ad-supported freemium model, which helps Disney earn additional revenue beyond subscriptions. Although segment-level profit is not disclosed, applying Disney+'s 2024 global operating margin of around 3% suggests Disney+ Hotstar could have earned roughly \$12.36 million in net profit (Reuters, 2024).

Amazon Prime Video holds 23% of the market with an estimated 20 million users in India. Among other competitors, ZEE5 holds 11%, and JioCinema, which offers a mix of local content and international titles from HBO and Paramount, holds 7%. Figure 1 summarizes the market share among the SVOD companies (Reuters, 2024).

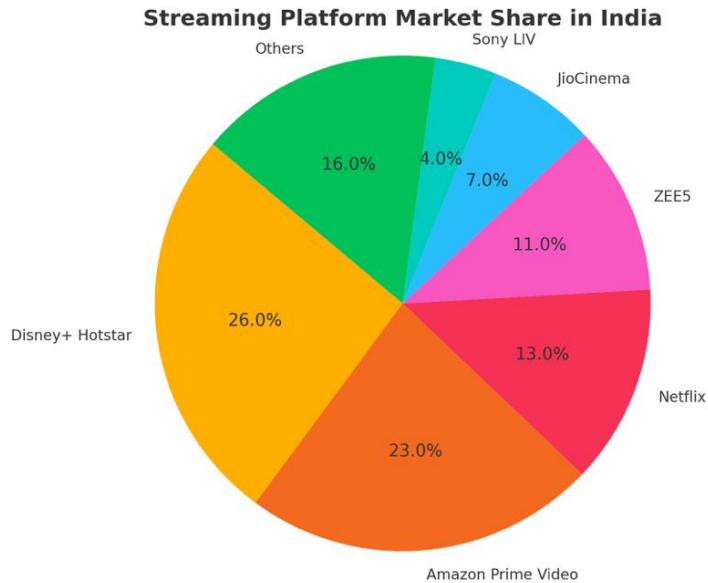


Figure 1: Streaming Platform Market Share in India

Strategic Recommendation

After analyzing the external and internal environment, Netflix should increase its investment in regional content partnerships and co-productions, focusing on creating local content that resonates with the Indian market and expanding reach into underrepresented languages. The primary benefits of this recommendation are increased content diversity, deeper market penetration, and stronger brand loyalty. Over the past several years, Netflix has steadily grown its market share. This progress can be attributed to its strategic adaptation to India's price-sensitive economy, particularly through the introduction of mobile-only plans. However, customer retention has largely been driven by the diversity of available content and personalized recommendations powered by AI and user watch history.

Looking at the external environment, the market leader, Disney+ Hotstar, lost 12.5 million subscribers in 2023 after losing digital rights to Viacom18, a major Indian media conglomerate that owns several local entertainment platforms (ET Online, 2023). Even with cheaper rates, many subscribers left due to the loss of engaging, culturally relevant content. This makes it clear that content is king in the SVOD industry. Given India's surge in digital media consumption, it is essential for Netflix to maintain a robust and engaging content library.

The advantages of this recommendation include access to new demographics and regions through a richer and more varied content offering. This will ultimately strengthen Netflix's brand image in India. However, some drawbacks exist, including resource allocation constraints, market response uncertainty, and quality control challenges. Managing multiple regional content projects requires thoughtful coordination and potentially reallocating resources. Additionally, establishing partnerships with new regional production houses may make it more difficult to maintain consistent production quality. Lastly, there is always the risk that certain content may not perform as expected in terms of viewership, engagement, or subscriber growth.

The rationale for this recommendation lies in the unique opportunity presented by India's cultural and linguistic diversity. While it poses challenges for content strategy, it also opens the door to reaching millions of potential viewers across untapped language markets. Although Netflix has made commendable progress with Hindi-language and pan-India content, it still lags regional competitors in terms of language diversity. By investing in local content and pursuing co-productions with regional creators, Netflix can build a stronger foothold in areas where audiences seek content in languages such as Malayalam, Tamil, Telugu, and Kannada. These partnerships can also help reduce development costs while ensuring cultural authenticity and relevance.

Moreover, Netflix can allocate more resources to support successful original shows, such as *The Great Indian Kapil Show*, while simultaneously expanding its licensed content library in additional languages. This approach will allow Netflix to grow its subscriber base while staying true to its premium brand identity.

Although some competitors have found success by adding live sports content, this has never been part of Netflix's global strategy. Therefore, Netflix should stay focused on its core strength, delivering high-quality, on-demand movies and shows to a global audience.

Alongside content development, it is equally important that Netflix continues to foster strong relationships with telecom providers. These partnerships can help increase subscriber acquisition through promotional bundles, cost-sharing, and greater visibility among mobile users. Ultimately, by collaborating with local creators and production houses, Netflix can expand its subscriber base, strengthen cultural relevance, and optimize its content development strategy for long-term success in the Indian market.

Implementation Plan

To execute the proposed strategic recommendation, Netflix India will roll out a series of phases. The plan will prioritize regional storytelling tailored to India's vast linguistic and cultural diversity, while aligning with the long-term growth goal of reaching 100 million subscribers and staying true to Netflix's global strategy, which is a premium, content-led brand identity.

Phase 1

Phase 1 will focus on regional market research and identifying local creators, spanning approximately three months. During this time, Netflix's data analysts and researchers will conduct in-depth regional audience and content landscape research to identify the linguistic markets with the highest growth potential. Since India has 22 official languages and over 121 total languages, it is crucial to determine those with the most promise for driving viewership. In addition, Netflix will begin compiling a list of local writers, directors, and production houses with proven audience engagement, while ensuring alignment with Netflix's values and goals. Once vetted, Netflix will select the partners to move forward with. Throughout this phase, the company can lean into its innovation-driven culture by encouraging employees to share ideas for scouting content and selecting creators.

Phase 2

Phase 2, lasting approximately 6–8 months, will involve signing content development agreements with selected creators and studios to begin producing pilot projects. These projects may center around regional holidays, folk tales, or cultural dramas. Additional steps during this phase include establishing production guidelines, ensuring quality standards, conducting small-scale focus groups to test early concepts, and subtitling and dubbing content into local languages. By adopting a co-creation model, Netflix reduces upfront financial risk while empowering local partners to maintain cultural authenticity. The emphasis should be on low-to-mid-budget productions. Simultaneously, Netflix should continue working with local creators and its own studios to produce culturally relevant films in multiple languages, recognizing the preference among Indian families to watch films at home together.

Phase 3

Phase 3, which may span 12–18 months depending on pilot success, will focus on regional content rollouts. While the shows may be released across India, and potentially abroad, they must be backed by hyper-localized marketing campaigns. These campaigns should include regional influencers, celebrate cultural holidays and festivals, and use the preferred language of the target audience. Specific tactics will include launching trailers, posting short-form social media content, collaborating with influencers, and translating, subtitling, and dubbing content into additional regional languages. Advanced AI-powered dubbing tools will be essential to enhancing viewership among non-native speakers. Additionally, Netflix should continue developing its telecom partnerships for bundled promotional access and joint marketing efforts during these launch periods.

Phase 4

Phase 4 is the review, adjust, and expand phase. While this is an ongoing effort, the initial evaluation period will last one to two years. After the first wave of regional content is released, Netflix must run a detailed performance analysis. This includes evaluating viewing hours, completion rates, subscriber growth, and churn. It should also assess the effectiveness of regional marketing efforts across digital and social platforms. Based on these insights, Netflix can make informed decisions about renewing popular shows, creating sequels, and expanding successful content categories.

To summarize, below is a visual representation of the implementation timeline:

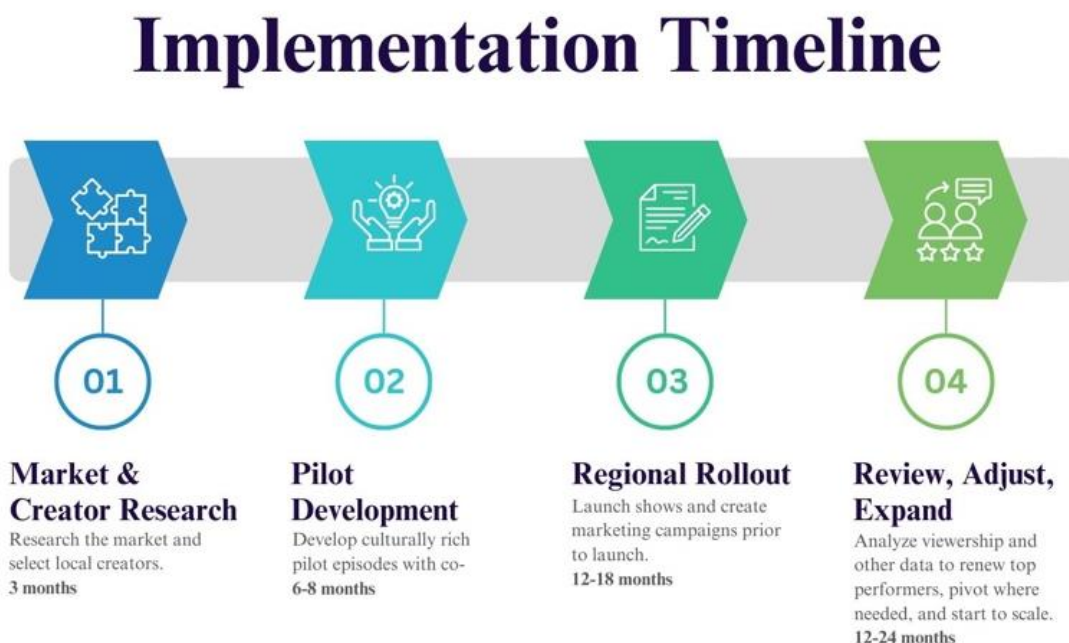


Figure 2: Implementation Timeline

Financial Feasibility

While a solution can be great in theory, a company always has opportunity costs when implementing a new strategy, and must be mindful of how to fund it. Netflix can support this initiative through a mix of internal allocation and strategic partnerships that minimize financial risk while allowing for scale. First, Netflix should reallocate a portion of its existing global content investment budget, dedicating a small percentage specifically for regional co-productions in high-growth markets like India. At the same time, pursuing co-financing models with Indian production houses will help share costs while tapping into local creative networks.

To stretch funding further, Netflix should expand its bundling partnerships with Jio, Airtel, and Vi, offering promotional access in exchange for shared distribution and marketing efforts. This approach not only reduces customer acquisition costs but also strengthens regional presence. Netflix can also explore grants and tax incentives offered by regional governments for promoting local media and job creation. Finally, using a tiered content development strategy, starting with low-budget pilots before greenlighting larger investments, helps contain financial exposure while giving the flexibility to test new ideas.

Strategies for Mitigating Challenges

Key challenges with a successful implementation can include regulatory pressures, quality inconsistencies across regions, underperforming pilot episodes, and even cultural misalignment. Despite Netflix's efforts to localize, there is always a risk that content may unintentionally offend cultural, religious, or regional sentiments, especially in a polarized media environment. To mitigate this, Netflix should strengthen its cultural vetting by involving local consultants and legal experts early on, along with testing content through small focus groups. Regulatory risks

also remain high given India's shifting legal landscape, where even previously approved content can be challenged. Netflix should respond by building strong legal and compliance teams in India, joining self-regulatory bodies, and clearly communicating content ratings aligned with Indian norms. Quality control may vary across regional teams, so Netflix should maintain centralized oversight and onboarding processes to align production standards while preserving cultural authenticity. Lastly, underperforming pilots can be mitigated through early test screenings and a willingness to refine or rework content based on audience feedback.

Conclusion

India presents a unique paradox for Netflix: a high-growth digital economy paired with intense competition, linguistic diversity, and regulatory oversight. Despite early challenges, Netflix has made notable strides in adapting to India's mobile-first, price-sensitive landscape. However, to unlock the full value of this market, it must move beyond pricing models and deliver content that resonates at a regional level.

This analysis has shown that the strategic path forward lies in creating partnerships with local creators and studios to develop culturally relevant, language-specific programming that reflects India's multifaceted identity. By investing in this direction, Netflix can improve its market position, enhance viewer engagement, and demonstrate that it can compete not just through platform innovation but through content that matters to local audiences.

While there are risks in execution, such as content quality control and uncertainty in viewer response, the potential rewards outweigh them. In addition, India has become the second-largest country for Netflix paid subscribers, therefore, it is worth the investment to pushing for a larger piece of the market share. The Indian market is a gateway to building long-term global resilience and diversifying revenue. Regional content co-productions can simultaneously elevate Netflix's market share and deepen consumer loyalty without compromising its global brand.

Ultimately, Netflix's success in India will not be decided by pricing alone but by its ability to prove that it understands, respects, and celebrates India's cultural and linguistic complexity. This strategy positions Netflix to lead not only as a global streaming giant but also as a culturally relevant force in one of the world's most dynamic entertainment landscapes.

Honors Extension

To elevate the depth of strategic thinking and refine earlier conclusions, this honors extension supplemented the original analysis with additional high-quality, data-driven research. Focusing on the PESTEL framework, the extension helped to uncover new external insights that could strengthen, challenge, or redirect strategic recommendations in a rapidly evolving environment.

Summary of PESTEL Analysis of Netflix in Bollywood

A PESTEL Analysis was used to assess the external environment shaping Netflix's growth in India. Politically and legally, the rise in regulatory control through the 2021 IT Rules and the proposed 2024 Broadcasting Services Bill reflects India's growing oversight of digital platforms. This introduces risks to Netflix's creative autonomy, especially given its global reputation for bold, original storytelling. Economically, India's price-sensitive market led Netflix to lower its subscription fees and introduce a mobile-only plan that better fits local consumption habits. However, strong competition from bundled services like Amazon Prime and Disney+ Hotstar continues to challenge Netflix's ability to dominate market share. Socially, India's cultural and linguistic diversity demands a highly localized content strategy, including voiceovers, dubbing, and programming that reflects regional identities and values. Technologically, the expansion of mobile internet through the Jio effect has opened the door to widespread digital access, but rural infrastructure gaps still limit streaming quality, making continued investment in compression, adaptive streaming, and telecom partnerships critical. Environmentally, Netflix has taken steps toward sustainability through its shift away from DVDs and investments in renewable energy. Still, to align with India's growing climate expectations, Netflix must also work with co-creators to integrate sustainability practices into regional productions. Altogether, the PESTEL framework offers a well-rounded view of the challenges and opportunities Netflix must navigate to grow in India without compromising its premium, content-led brand identity.

Research Insights

Political and Legal

India's political and legal environment has become increasingly complex as the government seeks greater control over digital content. In 2021, the Ministry of Electronics and Information Technology introduced new IT Rules that established a formal three-tier regulatory framework for OTT platforms. The first level requires platforms to be self-governing and appoint a grievance officer, a chief compliance officer, and a nodal officer—a senior employee responsible for coordinating with law enforcement and handling legal requests like takedown notices. The second level includes participation in a government-approved self-regulatory body, and the third level enforces oversight from an interdepartmental committee with the authority to issue warnings, demand takedowns, or reclassify content (Kumar & Singh, 2023, p. 3). While these updates promote accountability, they also open the door for broad government influence over creative expression. The article *A Study on OTT and Censorship in India* explains how concerns over morality, national security, and societal harmony have triggered these regulatory changes. Incidents like the Ballabhgarh shooting, allegedly influenced by *Mirzapur*, and staged kidnappings inspired by crime shows have sparked calls for stricter oversight. (Kumar & Singh, 2023, p. 2).

Environmental

On the environmental front, Netflix has made significant commitments that support its brand image and social responsibility. The company has pledged to reduce absolute emissions by 46% by 2030 and already matches 100% of its global electricity use with renewable energy (Netflix, 2024, p. 11, 20). Since production accounts for nearly one-third of total emissions, Netflix has implemented initiatives like replacing diesel generators with clean mobile power and using sustainable aviation fuel. In 2023, Netflix broke ground on a solar and battery-powered studio in Albuquerque, New Mexico, reinforcing its dedication to sustainable operations (Netflix, 2024, p. 19). Beyond logistics, Netflix also encourages content creators to incorporate climate-conscious themes into storylines. In fact, 90% of Netflix originals in 2023 featured electric vehicles on screen, showing their dual commitment to both operational sustainability and public influence (Netflix, 2024, p. 33). These efforts are particularly relevant in India, where awareness of climate issues continues to grow.

Social

Socially, the study also deepened my understanding of Indian cultural values and viewing patterns. Since the COVID-19 pandemic, many viewers have shifted away from theaters and rely more heavily on OTT platforms. Family-oriented content is often enjoyed together, especially on weekends, while more controversial or adult-themed content is usually watched in private due to concerns about violating Indian Ethos. Content like *Lust Stories*, *Bombay Begums*, and *Sex Education* has sparked criticism in more conservative households, reinforcing the need for Netflix to balance creative freedom with cultural sensitivity (Kumar & Singh, 2023, p. 3).

While India has been considered a high-growth emerging market, 2024 marks the first year where time spent on streaming apps declined rather than grew, and notably, India is the only country in Sensor Tower's dataset to show such a significant drop. As seen in Figure 1, both total app downloads and hours streamed fell in 2024, suggesting emerging signs of digital fatigue or shifting consumer behavior among digitally active users. At the same time, in-app revenue surged by over 60%, indicating that while fewer users may be actively streaming, those who remain are more willing to pay for premium content and enhanced features (Sensor Tower, 2025). This presents a complex dynamic for Netflix, where user engagement may be softening even as monetization opportunities increase, reinforcing the need for targeted investments in content, performance, and user experience to sustain long-term growth.

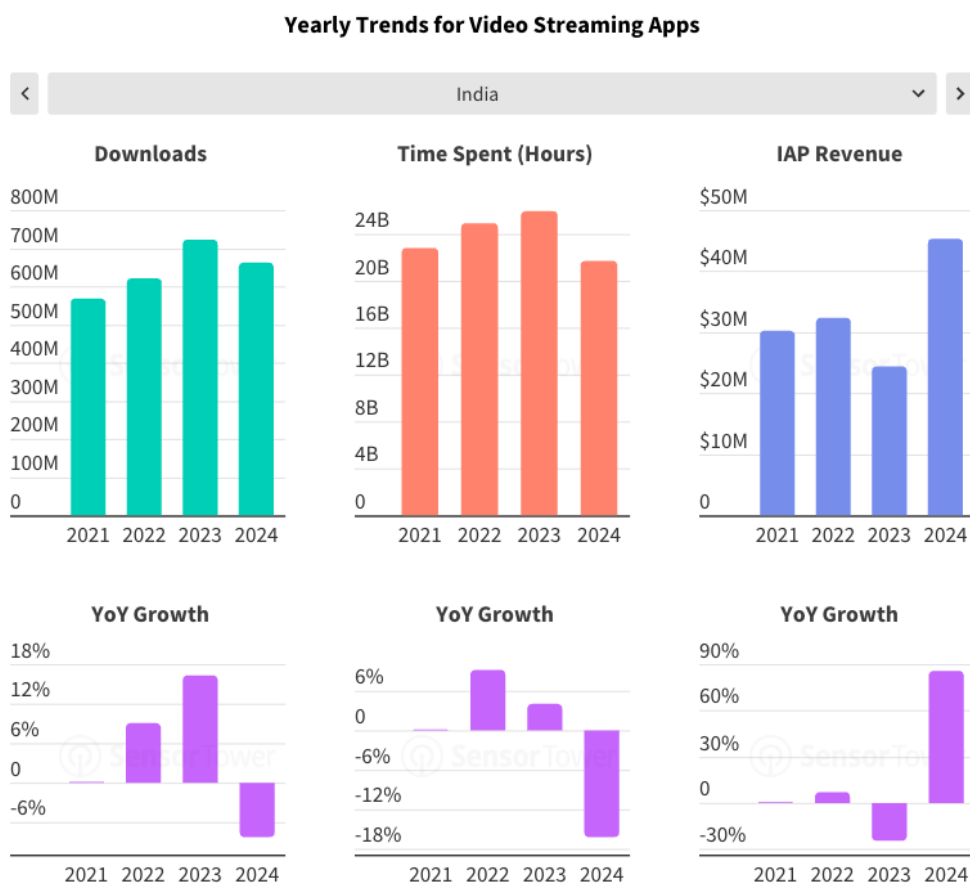


Figure 1: Yearly Trends for Video Streaming Apps

Technological

Technologically, India's rapid digital transformation presents both opportunity and complexity. According to *Digital 2024: India*, just 52.4% of India's population currently uses the internet, compared to 97.1% in the U.S. While mobile speeds have surged 418% year-over-year to a median of 94.62 Mbps, rural areas still face access issues, and fixed internet speeds remain moderate at 58.62 Mbps. These factors highlight the need for continued investment in data-efficient technologies, mobile-first content strategies, and partnerships with telecom providers. India ranks streaming as its second-most cited reason for going online, compared to fourth in the U.S. Even with a 26.2% drop in average daily streaming time to just 1 hour and 28 minutes, shown in Figure 2, streaming still accounts for 50.4% of total TV time. In contrast, the U.S. attributes only 39.2% to streaming platforms (Kemp, 2024).

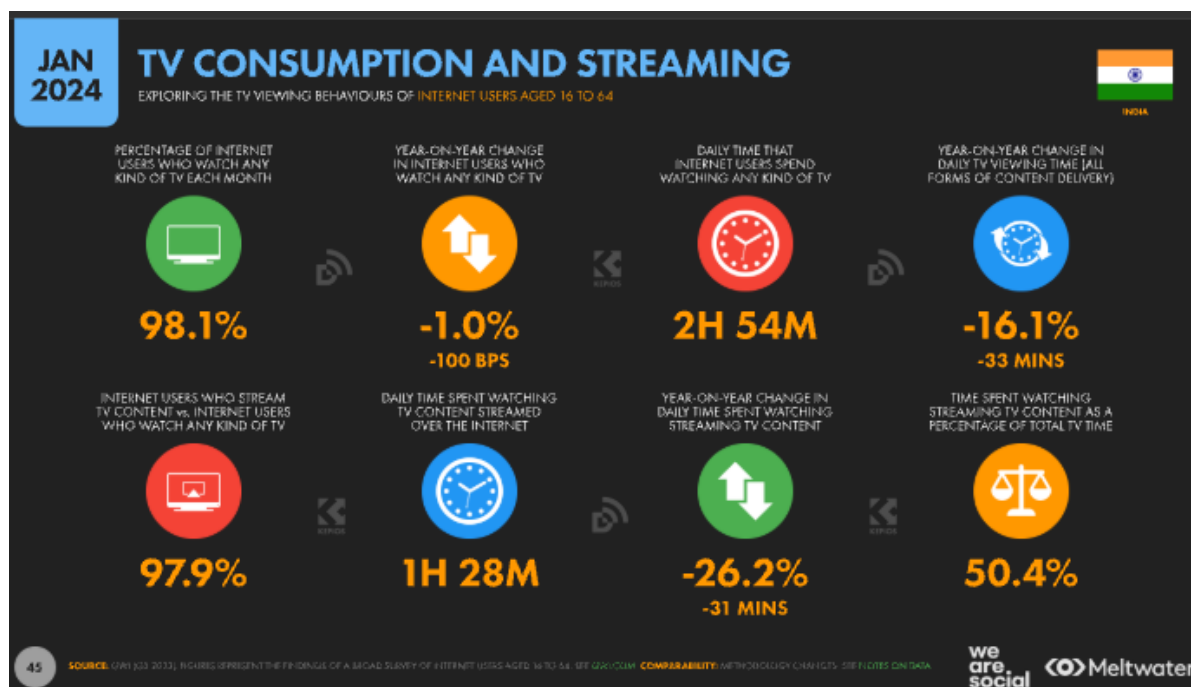


Figure 2: India's TV Consumption and Streaming

Critical Comparison

The new research reinforces the original conclusions and emphasizes the urgency for Netflix to deepen its investment in regional content partnerships and co-productions, while navigating cultural and market trends that are limiting its market share growth. The original analysis noted several bills and laws highlighting the rise in government censorship, but the updated research from Vivek Kumar's study and the 2023 Netflix ESG Report illustrates how structured and formalized this oversight has become in India and globally. While the first analysis explained the 2021 rules, the additional research dove into specific mandatory roles, such as tiered content regulation and the appointment of a nodal officer, a unique oversight position within companies operating in India.

Additionally, the research deepened the social analysis by explaining more about how India's culture and lifestyle impact viewership habits and content preferences. For example, family-friendly content is typically enjoyed together, while more controversial and adult-themed shows are often watched privately. This supports the original recommendation to invest in diverse content, but also provides a more focused understanding of what types of content to invest in to balance Netflix's brand identity with regional culture. It also reinforces the importance of clear content categorization and stronger parental awareness tools.

The last insight from the further analysis was understanding more about viewership trends, such as the drop in average daily streaming time, India's higher reliance on OTT platforms compared to the U.S., and the reality of being a mobile-first culture. Technologically, the original analysis noted infrastructure barriers, but the new data offers more detailed insights into India's internet speeds, though improving, they remain uneven, especially in rural areas. This suggests the need for continued investment in technology that enhances data efficiency, while maintaining a mobile-first strategy and growing partnerships with telecom providers. A key difference

compared to when the original case was written is that the streaming market was still experiencing significant growth, whereas now, recent data reveals a decline in time spent on streaming apps, indicating early signs of digital fatigue, or users becoming more selective with their viewing. Lastly, the Netflix ESG Report helped expand the environmental analysis, showing Netflix's commitment to being a sustainability leader not only through operational shifts that reduce carbon emissions but also by influencing cultural conversations through climate-aware storytelling. As Netflix partners with regional creators in the strategic recommendation, it should also encourage and support sustainable production practices beyond its own studios to reduce Scope 3 emissions and align with its global ESG goals.

Reflection

While I utilized various external sources in the original case study to gain a deeper understanding of the issues at hand for Netflix, incorporating high-quality research helped me better grasp the complexity behind strategic decision-making. Conducting independent research beyond the case study significantly enhanced my strategic understanding by revealing how real-world complexity often challenges theoretical assumptions. It taught me that this process requires perspectives from multiple sides, as well as both quantitative and qualitative data, something that is not always thoroughly provided in classroom cases. While frameworks like PESTEL and the Value Chain Analysis help lay the foundation, applying the concept shows the importance of context when analyzing decisions that affect long-term outcomes.

As a young professional, it can be tempting to offer what seems like a perfect solution, but this experience reminded me that strategy is not about finding a one-size-fits-all solution; it requires understanding, not assumptions. Through the guidance of structured frameworks, I learned how important it is to look at the full picture, including market conditions, stakeholder interests, cultural expectations, and company values. Integrating sources such as ESG reports, digital infrastructure studies, and social research helped uncover blind spots and challenge surface-level conclusions. One article or dataset cannot carry the full weight of a decision, but piecing together insights from various perspectives completes the puzzle. This deeper level of analysis enhanced the relevance of my recommendation and strengthened my confidence in the strategic process.

This pushed me to think more critically and gave me experience that I will continue to use after graduation. As I move forward in my career and prepare for my role as a CPA and Tax Accountant, I know that these research and strategic-thinking skills will help me when advising clients and making well-informed tax recommendations. I now understand the importance of developing a holistic view before making a recommendation, and I will carry this mindset into future work with clients and companies alike. Through this project, I gained a deeper appreciation for the value of understanding various external and internal factors and how those elements shape the decisions that businesses must make.

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